

KEY TERMINOLOGY

ECONOMY



- Demonetisation
- Money Supply
- Narrow Money
- Broad Money
- Letter of Credit

MODULE - 17

- Ombudsman
- DTAA
- PoS Terminals
- Bank Guarantee
- LIBOR

KEY TERMINOLOGY

SHADOW BANKING

- “Credit intermediation involving activities outside the banking system”
- Like house loans, gold loans, vehicle finance etc.
- Regulation is weak
- Hence risk prone
- These are called NBFCs



PARA BANKING

- The financial services undertaken by banks, such as credit cards, smart cards, mutual funds, primary dealers, pension funds comes under Para Banking activities



DEMONETISATION

It is stripping the currency of its legal status, that means the currency becomes infructuous or redundant after the specific date

- The Government stated that from **mid-night of November 8, 2016**, these two notes will not be legal tender except for **some emergency services**
- All the notes were **surrendered to Banks or Post Offices up to 30 December 2016**. Reserve Bank allowed further surrender up to specified date.



KEY TERMINOLOGY IN ECONOMY

WHAT WERE THE PREVIOUS INSTANCES?



1 Government demonetised Rs. 500, Rs. 1,000 and Rs. 10,000 notes in 1946



2 In 1954, Government brought Rs. 1,000, Rs. 5,000 and Rs. 10,000 notes



3 In 1978, Government demonetised Rs. 1,000 and above value notes

4 In 1987, Government brought Rs. 500 note and in the year 2000, Government brought Rs. 1,000 note

5 The Circulation of Rs. 1,000 notes increased by more than 100% during 2011-16 and the circulation of Rs. 500 notes also increased by more than 70% during the same period.

Now in November 2016, Government demonetized Rs. 500 and Rs. 1,000 notes and in their place Rs. 500 and Rs. 2,000 notes were brought.

TRANSFER PAYMENTS TO HOUSEHOLDS FROM THE GOVERNMENT



- Transfer payments are the payments, which are made without any counterpart of services received by the payer.



VALUE ADDED

- Net contribution made by the firm in the process of production.
- It is defined as the value of production minus the value of intermediate goods used.



MONEY SUPPLY

The total stock of money in circulation among the public at a particular point of time is called money supply.

NARROW MONEY

M1
M2

BROAD MONEY

M3
M4

M1 and M2 are known as narrow money. M3 and M4 are known as broad money. These are in decreasing order of liquidity. M1 is most liquid and easiest for transactions whereas M4 is the least liquid of all. M3 is the most commonly used measure of money supply. It is also known as aggregate monetary resources.

NARROW MONEY

M1

- Currency (notes + coins) held by the public, which is known as CU.
- Net demand deposits held by the commercial banks, which is known as DD.
- It does not include interbank deposits, which a commercial bank holds in other commercial banks.

M2

- M1 + Savings deposits with Post office savings banks.



NARROW MONEY

M1



+



M2



+



+



BROAD MONEY

M3

- M1 + Net time deposits of commercial banks.



M4

- M3 + Total Deposits with Post Office Savings Organization.
- This excludes National Savings Certificates.



BANKING OMBUDSMAN

- ✓ Senior official appointed by RBI to redress customer complaints against deficiency in certain banking services.
- ✓ Under section 35 a of the Banking Regulation Act 1949.
- ✓ In operation with effect from 1995.
- ✓ All scheduled commercial banks (including RRBs, cooperative banks) are covered.
- ✓ Important items which come under the purview.
 - Non-payment or inordinate delay in payment of cheques, drafts, bills etc...
 - Failure to issue or delay in issue of drafts.
 - Delay in payment of inward remittances.
 - Non acceptance of coins / small denomination notes etc...
 - Forced closure of deposit accounts without notice.
 - Non-observance of RBI directives in certain cases.



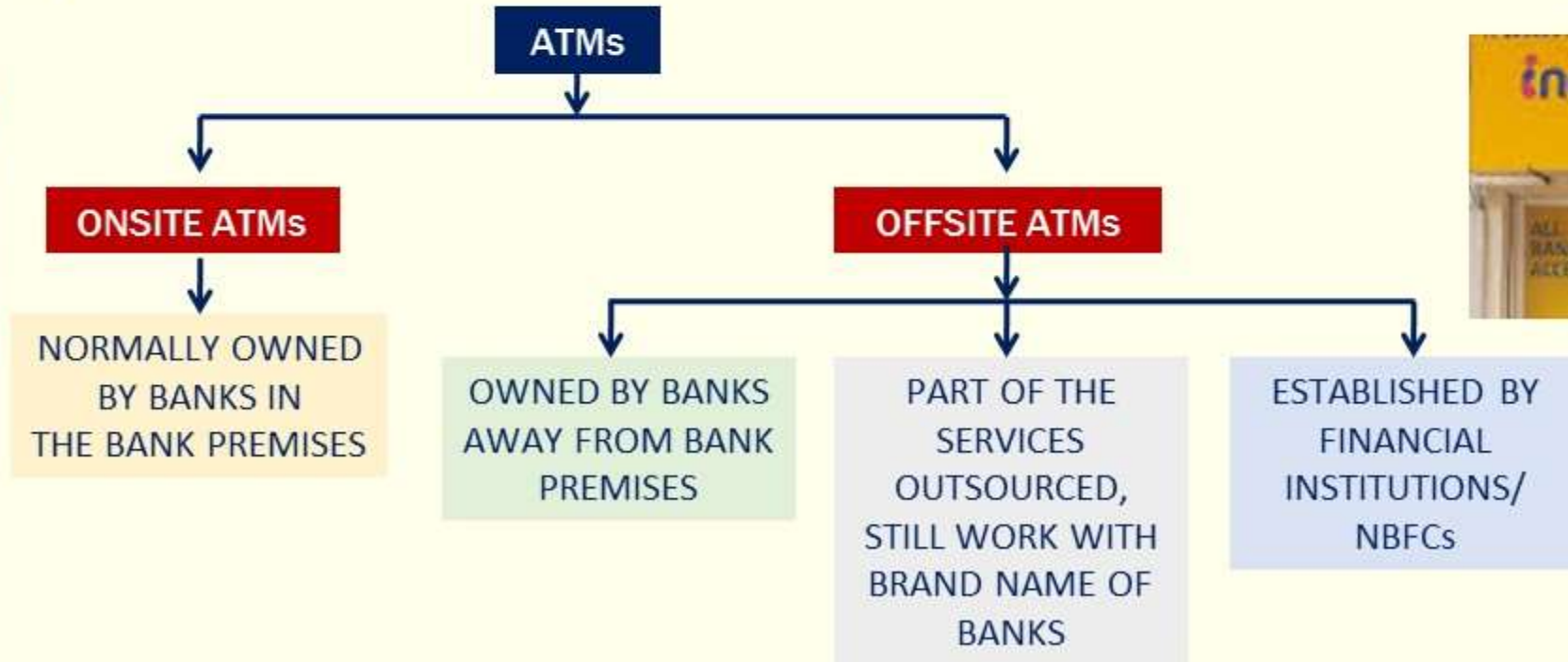


HOW TO COMPLAIN?

- ✓ First we should approach bank for any grievance.
- ✓ If the grievance is not settled by the bank in 30 days (If not replied / rejection by bank / reply does not satisfy the customer), then we can approach the Ombudsman within 1 year.
- ✓ Complaint can be lodged on plain paper or by sending e-mail request.
- ✓ No charges involved.
- ✓ Maximum limit of award is Rs 10 lakhs. (Rs 1 lakh incase of credit card related complaints)
- ✓ If not satisfied, either of the parties can approach appellate authority within 30 days. Appellate authority vested with a deputy governor of RBI.

WHITE LABEL ATMs

- ✓ We all know, ATMs were initially installed in branch premises of banks. They are called Onsite ATMs owned by banks
- ✓ As these services are required extensively at many places, banks started opening Offsite ATMs away from the bank branches



LIBOR

- ✓ It is **London Interbank Offered Rate**
- ✓ It is the primary benchmark, for short term interest rates around the world
- ✓ Many **financial institutions set their interest rates relative to it.**

DTAA

- ✓ It is **Double Taxation Avoidance Agreement**
- ✓ It is an agreement between two countries with an objective to avoid **taxation of the same income in both the countries.**
- ✓ India has got DTAA with several countries
- ✓ For availing DTAA benefit, the NRI has to submit "**Tax Residency Certificate**" (TRC) to the bank annually.

POINT OF SALE TERMINALS (POS TERMINALS)

- ✓ It is a terminal at a store, where **customer makes purchases using debit card / credit card / prepaid card.**
- ✓ Card needs to be swiped and the data embedded in the card is electronically validated and gets authorized, if it is in order.
- ✓ It is the **payment gateway** of the merchant acquirer.
- ✓ The merchant establishment is **required to hold an operative account with the acquirer bank to avail this service.**
- ✓ POS terminals are good source of “**Non Interest Income**” for banks.
- ✓ New generation private sector banks are ahead in POS terminals.



KEY TERMINOLOGY IN ECONOMY



Learning Space

FUND BASED SUPPORT

- Vehicle Loans
- Agriculture Loans
- Personal Loans
- Credit Card Advances
- Overdraft Accounts
- Cash Credit Accounts

NON – FUND BASED SUPPORT

- Performance Guarantee
- Letter of Credit



PERFORMANCE GUARANTEE OR BANK GUARANTEE



If Agency XXX fails to fulfil the contractual obligations, Indian Railways will invoke the Bank Guarantee

KEY TERMINOLOGY IN ECONOMY

LETTER OF CREDIT



If buyer XXX failed to pay back after getting the goods, then YYY can get payment through Letter of Credit.

Note: This illustration pertains to domestic Letter of Credit

MICRO SMALL AND MEDIUM ENTERPRISES

CLASSIFICATION OF MSMEs AS PER MSMED ACT, 2006

Activity of enterprise	Manufacture / Production of goods	Rendering of services
Type of investment	Plant and machinery	Equipment
Micro enterprise	Up to Rs. 25 lakhs	Up to Rs. 10 lakhs
Small enterprise	More than Rs. 25 Lakhs and up to Rs. 5 crores	More than Rs. 10 lakhs and up to Rs. 2 crores
Medium enterprise	More than Rs. 5 crores and up to Rs. 10 crores	More than Rs. 2 crores and up to Rs. 5 crores

- ✓ **The above cost excludes the cost of land and buildings.**
- ✓ **Micro, Small and Medium Enterprises come under priority sector lending.**

MEMORANDUM OF ASSOCIATION

- It is the supreme public document
- It contains objects, powers and scope of the company
- Contains all the information required for the company at the time of incorporation
- To be registered with ROC

ARTICLES OF ASSOCIATION

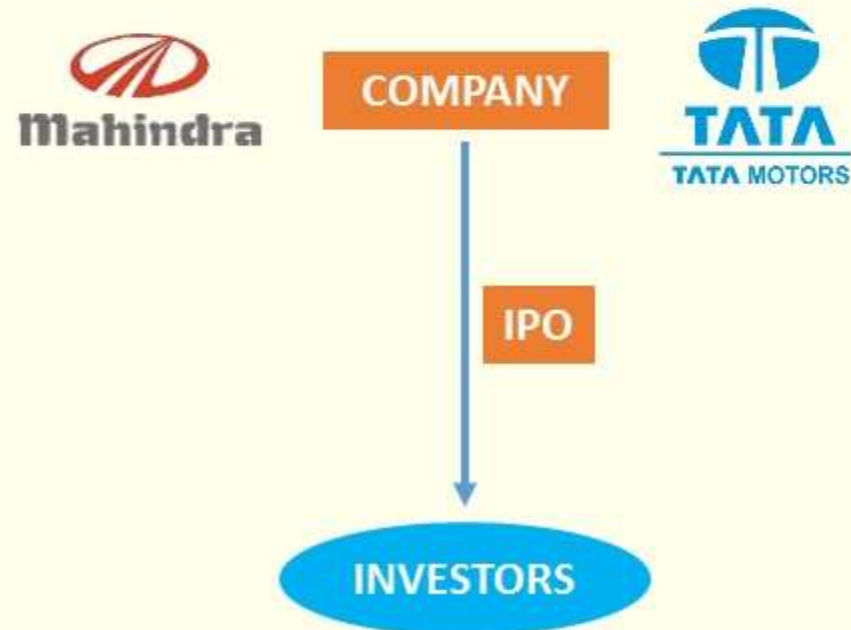
- It is the secondary document
- Defines rules and regulations for day to day management
- Rules and regulations for the internal governance
- Subordinate to MOA



KEY TERMINOLOGY IN ECONOMY

PRIMARY MARKET

- It refers to buying of equity shares, when IPO is released by the company



SECONDARY MARKET

- Transaction of shares from one investor to another investor



EQUITY SHARES

- Also called common stock
- It shows ownership of the company
- Can be issued through IPO / FPO / bonus shares / rights issue / convertible debentures
- Traded in the stock exchanges

PREFERENCE SHARES

- They are also shares, but with stated dividend and priority over equity shares
- They are hybrid instruments
- Combines the properties of debentures as well as equity shares

In case of liquidation, debenture holders, preference shareholders & equity shareholders will get priority in this order.



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